

US\$5.5 billion worth at the price of US\$1,000 per coin, is held by the top 1,000 addresses recorded in Bitcoin's blockchain.¹⁰ That means on average each of these addresses is holding US\$5.5 million worth of bitcoin, and it's fair to assume that these balances are not those of merchants waiting for their transactions to complete. Instead, these are likely balances of bitcoin that entities are holding for the long term based on what they think bitcoin's future utility value will be. Future utility value can be thought of as speculative value, and for this speculative value investors are keeping 5.5 million bitcoin out of the supply.

At the start of April 2017, there were just over 16 million bitcoin outstanding. Between international merchants needing 10 million bitcoin, and 5.5 million bitcoin held by the top 1,000 investors, there are only roughly 500,000 bitcoin free for people to use. A market naturally develops for these bitcoin because maybe another investor wants to buy-and-hold 5 bitcoin, or a merchant wants to send US\$100,000 of bitcoin to Mexico. Since these people must buy that bitcoin from someone else, that someone else needs to be convinced to let that bitcoin go, and so a negotiation begins. On a broader scale, all these negotiations occur on exchanges around the world, and a market to value bitcoin is made.

If demand continues to go up for bitcoin, then with a disinflationary supply schedule, so too will its price (or velocity). However, at a certain point some investors may choose to exit their investments because they feel that bitcoin has reached its maximum value. In other words, those